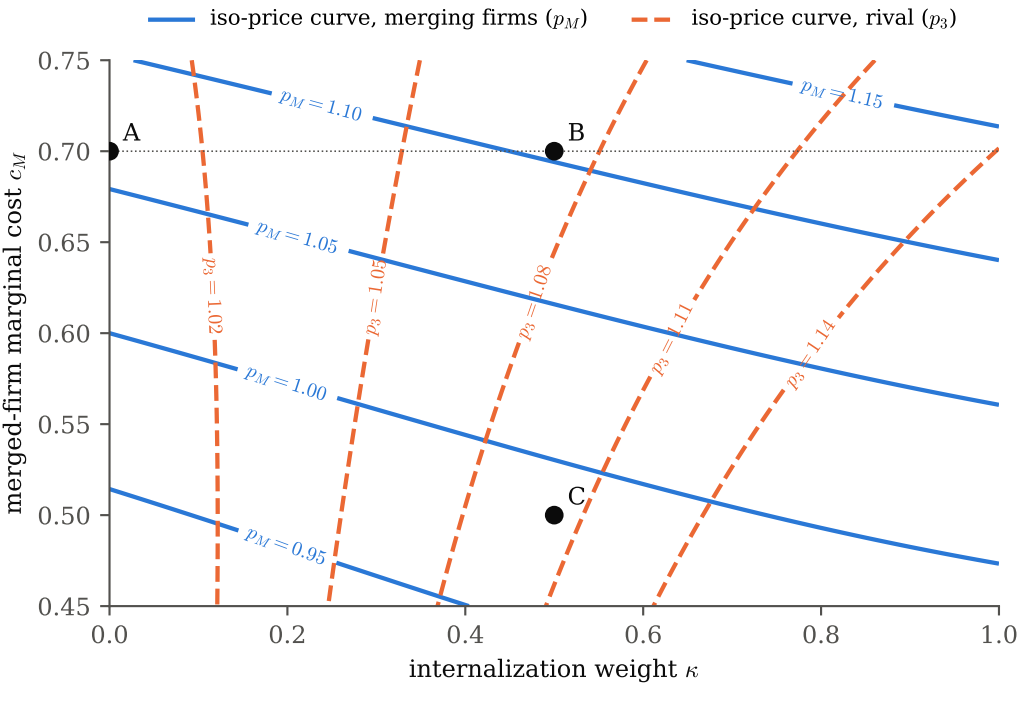
iso-price curve, merging firms (p_M)
iso-price curve, rival (p_3)
merged-firm marginal cost c_M
internalization weight κ
0.75
0.70
0.65
0.60
0.55
0.50
0.45
0.0
0.2
0.4
0.6
0.8
1.0
A
B
C
$p_M = 1.10$
$p_M = 1.15$
$p_M = 1.05$
$p_M = 1.00$
$p_M = 0.95$
$p_3 = 1.02$
$p_3 = 1.05$
$p_3 = 1.08$
$p_3 = 1.11$
$p_3 = 1.14$